NEXUS Industries ? Annual Report 2024

Executive Overview:
Full-year revenue grew 4% year over year. However, profitability declined in Q3 2024.
Gross margin fell from 41.8% in Q2 to 33.1% in Q3.
Primary drivers identified by management:
1) Cloud infrastructure costs rose 35% due to an unplanned migration and over-provisioning.
2) Professional services spend increased 35% for emergency implementation support.
3) SMB customer churn spiked to 22% in Q3, driven mainly by onboarding friction and support response times.
Marketing spend was elevated but delivered flat pipeline, reducing ROI.

Outlook:
Management has launched a cost-discipline program and an onboarding overhaul targeting Q4 recovery.
Risk factors include competitive pricing pressure and lingering infrastructure inefficiencies.